

Japan Equity Strategy: Monthly Wrap

Widening share price and earnings gap amid AI rally: AI stocks vs non-AI stocks

Amid the global rally in AI stocks, Japanese equities rose in May, with both the Nikkei 225 (up 11.9%) and TOPIX (up 6.2%) reaching record highs. The Nikkei 225, which has a high weighting of AI semiconductor stocks, surpassed 66,000 for the first time and briefly exceeded 67,000 on June 1. TOPIX, which represents the overall market, recovered to high levels seen before the Middle East conflict. The acceleration of the AI-driven market and momentum trading since April has widened the gap in share price performance between AI and non-AI stocks. Meanwhile, as earnings forecasts for AI semiconductor companies were quickly revised upward in May, P/E ratios declined (to levels seen in November 2025 during heightened concerns over excessive AI investment), easing signs of overheating. In Japan, memory and wire/cable stocks are the main reason behind the upward revisions to consensus estimates for FY2026 EPS to grow 60% at AI semiconductor stocks. As the performance gap between AI stocks and IT services/games, and between external demand and domestic demand stocks continues to widen in one direction, we are closely monitoring the outlook for earnings at AI-related (memory, wire/cable) stocks and non-AI stocks. Regarding the macro environment, the rise in long-term interest rates following the mid-May supplementary budget has become a key theme. The government will announce its Basic Policy on Economic and Fiscal Management and Reform in early July. The government has indicated that it intends to use bridge JGBs to fund growth investments, and while the outlook for comprehensive medium-term fiscal policy may remain uncertain for some time, the current administration has consistently emphasized market credibility and has delivered solid fiscal results since taking office. As a base case scenario, we therefore believe an immediate negative reaction in the equity market is unlikely. With an 80% probability of a rate hike already priced in for the June BoJ MPM, we also focus on the impact of forex.

- Share price performance in May:** Japanese equities rose in May, with both the Nikkei 225 (up 11.9%) and TOPIX (up 6.2%) reaching record highs. The Nikkei 225, which has a high weighting of AI semiconductor stocks, surpassed 66,000 for the first time and briefly exceeded 67,000 on June 1 ([our end-2026 forecast](#): 70,000). TOPIX recovered to high levels seen before the Middle East conflict. The NT ratio (Nikkei Stock Average/TOPIX ratio) reached a record high of 16.8x (16.2x at end-April; Figure 4). In May, the S&P 500 rose 5.1%, the Nasdaq climbed 8.4% to a record high, and the STOXX 600 gained 2.4% (Figure 1). Asian technology markets, including KOSPI and MSCI Taiwan, also posted sharp gains across the board. Aside from AI, strong corporate earnings (with March fiscal year results exceeding expectations) and continued inflows from overseas investors supported the Japanese equity market. However, there were periods when rising long-term interest rates were perceived as a risk. In mid-May, as crude oil prices remained elevated and news reports emerged about the government's supplementary budget, the 10-year JGB yield briefly exceeded 2.8%, reaching a 29-year high, which weighed on share prices (see [report](#)). Toward the end of the month, reports of a US-Iran agreement including a 60-day ceasefire and reopening of the Strait of Hormuz supported share price gains. Breaking down the drivers of May share price

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performance, EPS contributed +4.1 points and P/E valuation expansion contributed +2.7 points, indicating that profit growth led the performance gains (Figure 8).

- **May sector, style and individual stock trends:** By sector, AI semiconductor-related stocks (electric equipment & precision instruments, non-ferrous metals) and AI-infrastructure beneficiaries led the market higher (Nikkei Semiconductor Index MTD +23.5%). Domestic sectors such as real estate, energy, food, transportation, and utilities declined on rising rates and the Middle East conflict (Figure 6: domestic demand index -0.9%, overseas demand index +17.0%; Figure 1). During the mid-month yield spike, AI semiconductor-related stocks sold off and triggered a rotation into banks and lagging domestic demand sectors, though this proved short-lived as yields stabilized. By style, momentum, risk, capex, and growth stocks outperformed, while quality, dividend, and EPS revision stocks lagged (Figure 13). Among Nikkei 225 stocks, the best performers in May included MLCC-related stock names such as Taiyo Yuden, Murata, Kioxia, Ibiden and Sumco, whereas worst performers included Sumitomo Realty, Fujikura, Nippon Electric Glass and Mitsubishi Heavy Industries.
- **EPS forecasts and valuations:** As of end-May 2026, TOPIX EPS growth was +10.8% YoY, above our forecast of +8.4% for FY2025, and IBES consensus estimates for FY2026 stand at +9.8% (-3.3 ppt versus one month ago, we forecast +10.4%), and +11.7% (+0.1 ppt versus one month ago) for FY2027. Estimates for FY2026 were reduced across the food, pharma, power, and transportation sectors due to the Middle East conflict, but were subsequently revised higher for FY2027 as the conflict's impact eased (Figure 28). 2026 EPS consensus forecasts are +23.5% YoY (+3.7 ppt versus one month ago) for the US and +16.9% (+1.0 ppt) for Europe (IBES consensus estimates; Figure 27). Looking at valuations, TOPIX's 12-month forward P/E as of end-May was 16.9x, so it has settled into the center of a new range after the rapid rise following Japan's February election (IBES consensus estimate basis; Figure 29). By sector, valuations seem somewhat high for basic materials & chemicals, electric appliances, trading companies & wholesalers, and transportation, while valuations are low for energy & resources, IT & services, retail, food, power, and real estate (versus averages over the past year; Figure 11).
- **Flows and positions:** According to TSE trading data through May 22, overseas investors were net buyers of Japanese equities by ¥0.8 trillion in May, bringing their YTD cumulative net buying to ¥6.24 trillion (breaking down into cash market net buying of ¥10.9 trillion and futures net selling of ¥4.6 trillion). Trust banks, investment trusts and retail investors were marginally net sellers (Figure 37). According to the May QUICK Survey (response period: May 12–May 14), investors maintained overweight positions in electric machinery & precision instruments, steel, machinery, communications and financials, and expanded their overweight positions in real estate and construction. Meanwhile, they expanded underweight positions in autos and utilities, downgraded pharma and foods to underweight, and were neutral on materials and consumer goods (Figure 47 & Figure 48).
- **Key reports:**
 - (1) [Japan Equity Monthly Strategy: Sustainability of AI rally amid rising rates](#)
 - (2) [Japanese equities heading into a phase of 3% yields; where to go, AI and financials?](#)
 - (3) [FY2025 earnings wrap: Stronger-than-expected FY2025 results driven by AI semiconductors and banks](#)

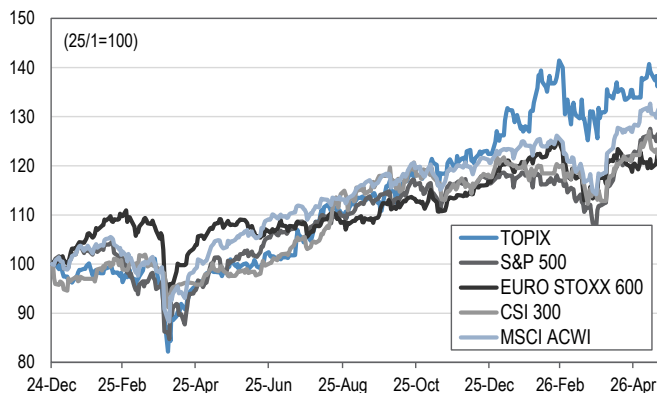
Share price performance

Figure 1: Equities, rates, and FX movement

Indicators (as of 2026/05/29)	2026	Quarterly					Monthly												Weekly					
		25-Q2	25-Q3	25-Q4	26-Q1	26-Q2	25-May	25-Jun	25-Jul	25-Aug	25-Sep	25-Oct	25-Nov	25-Dec	26-Jan	26-Feb	26-Mar	26-Apr	26-May	05/01	05/08	05/15	05/22	05/29
TOPIX	16.1%	7.3%	10.0%	8.6%	2.6%	13.1%	5.0%	1.8%	3.2%	4.5%	2.0%	6.2%	1.4%	0.9%	4.6%	10.4%	-11.2%	6.6%	6.2%	0.3%	12.7%	0.9%	0.7%	1.7%
Nikkei 225	31.8%	13.7%	11.0%	12.0%	1.4%	29.9%	5.3%	6.6%	1.4%	4.0%	5.2%	16.6%	-4.1%	0.2%	5.9%	10.4%	-13.2%	16.1%	11.9%	-0.3%	5.4%	2.1%	3.1%	4.7%
Nikkei Semiconductor Index	100.0%	26.0%	12.3%	21.1%	18.9%	68.2%	11.1%	17.5%	0.4%	-2.5%	14.7%	24.0%	-7.4%	5.4%	28.7%	9.4%	-15.5%	36.2%	23.5%	11.2%	11.0%	2.2%	8.5%	7.4%
Nikkei Domestic-demand 50	1.0%	5.6%	13.6%	6.4%	2.7%	-1.7%	2.4%	1.0%	3.5%	8.1%	1.6%	-0.7%	7.5%	-0.3%	1.8%	12.6%	-10.4%	-0.8%	-0.9%	0.7%	0.5%	-0.1%	-0.8%	0.3%
Nikkei Overseas-demand 50	30.5%	5.5%	11.8%	11.6%	-1.0%	31.7%	4.7%	3.7%	2.8%	3.8%	4.9%	8.9%	1.0%	1.4%	4.6%	11.2%	-14.8%	12.6%	17.0%	0.8%	5.7%	1.8%	0.9%	3.2%
S&P500	10.7%	10.6%	7.8%	2.3%	-4.6%	16.1%	6.2%	5.0%	2.2%	1.9%	3.5%	2.3%	0.1%	-0.1%	1.4%	-0.9%	-5.1%	10.4%	5.1%	0.9%	2.3%	0.1%	0.9%	1.4%
US Magnificent 7	7.6%	20.9%	17.5%	4.4%	-12.1%	22.5%	13.3%	6.1%	5.8%	1.9%	9.0%	4.9%	-1.2%	0.7%	0.6%	-7.3%	-5.7%	14.9%	6.6%	0.6%	4.0%	0.4%	-0.8%	1.8%
S&P500 ex. Mag 7	11.5%	6.3%	4.1%	1.7%	-1.0%	12.6%	3.7%	3.8%	0.0%	2.2%	1.9%	0.5%	1.4%	-0.2%	2.2%	2.1%	-5.2%	7.9%	4.4%	0.9%	1.3%	-0.1%	2.0%	1.5%
Nasdaq	16.1%	17.7%	11.2%	2.6%	-7.1%	24.9%	9.6%	6.6%	3.7%	1.6%	5.6%	4.7%	-1.5%	-0.5%	0.9%	-3.4%	-4.8%	15.3%	8.4%	1.1%	4.5%	-0.1%	0.5%	2.4%
The Philadelphia Semiconductor	81.1%	29.9%	14.8%	11.2%	7.1%	69.1%	12.5%	16.6%	1.1%	1.1%	12.4%	13.5%	-2.8%	0.8%	12.9%	1.2%	-6.3%	38.4%	22.1%	0.8%	11.1%	1.5%	15.3%	1.1%
NY Dow	6.2%	5.0%	5.2%	3.6%	-3.6%	10.1%	3.9%	4.3%	0.1%	3.2%	1.9%	2.5%	0.3%	0.7%	1.7%	0.2%	-5.4%	7.1%	2.8%	0.5%	0.2%	-0.1%	2.1%	0.9%
Russel 2000	17.6%	8.1%	12.0%	1.9%	0.6%	16.9%	5.2%	5.3%	1.7%	7.0%	3.0%	1.8%	0.8%	-0.7%	5.3%	0.7%	-5.2%	12.2%	4.3%	0.9%	1.7%	1.7%	2.7%	1.7%
Euro STOXX 600	5.7%	1.4%	3.1%	6.1%	-1.5%	7.3%	4.0%	-1.3%	0.9%	0.7%	1.5%	2.5%	0.8%	2.7%	3.2%	3.7%	-8.0%	4.8%	2.4%	0.1%	0.1%	-0.1%	3.0%	0.1%
CSI300	5.7%	1.3%	17.9%	-0.2%	-3.9%	9.9%	1.8%	2.5%	3.5%	10.3%	3.2%	0.0%	-2.5%	2.3%	1.7%	0.1%	-5.5%	8.0%	1.8%	0.8%	1.3%	-0.1%	-0.3%	0.0%
KOSPI	101.1%	23.8%	11.5%	23.1%	19.9%	67.8%	5.5%	13.9%	5.7%	-1.8%	7.5%	19.9%	-4.4%	7.3%	24.0%	19.5%	-19.1%	30.6%	28.4%	1.9%	13.6%	-0.1%	4.7%	5.0%
UST2Y (%)	4.01	3.72	3.61	3.48	3.80	4.01	3.90	3.72	3.96	3.62	3.61	3.57	3.49	3.48	3.52	3.38	3.80	3.87	4.01	3.88	3.89	4.07	4.12	4.01
UST10Y (%)	4.44	4.23	4.15	4.17	4.32	4.44	4.40	4.23	4.38	4.23	4.15	4.08	4.02	4.17	4.24	3.94	4.32	4.37	4.44	4.37	4.36	4.59	4.56	4.44
JGB10Y (%)	2.66	1.43	1.64	2.06	2.35	2.66	1.49	1.43	1.55	1.59	1.64	1.66	1.81	2.06	2.24	2.11	2.35	2.52	2.66	2.50	2.47	2.71	2.75	2.66
USDJPY (Yen)	159.3	144.0	147.9	156.7	158.7	159.3	144.0	144.0	150.8	147.1	147.9	154.0	156.2	156.7	154.8	156.1	158.7	156.6	159.3	157.0	156.7	158.7	159.2	159.3
VIX	15.3	16.7	16.3	15.0	25.3	15.3	18.57	16.73	16.72	15.36	16.28	17.44	16.35	14.95	17.44	19.86	25.25	16.89	15.32	17.0	17.2	18.4	16.7	15.3
Overseas flow (Spot)	10.87	4.40	0.20	2.82	2.92	7.95	2.28	0.93	1.74	(0.12)	(1.41)	3.44	(0.34)	(0.28)	2.36	2.84	(2.28)	5.34	2.61	0.36	1.24	0.56	0.46	-
Overseas flow (Future)	(4.39)	(0.81)	2.75	(0.79)	(1.30)	(3.08)	(0.05)	0.54	0.99	1.30	0.46	(2.12)	0.98	0.35	(1.67)	1.72	(1.36)	(1.26)	(1.82)	(0.93)	(0.10)	(0.73)	(0.06)	-
Overseas flow (Total)	6.48	3.59	2.95	2.03	1.61	4.87	2.22	1.47	2.73	1.18	(0.96)	1.32	0.64	0.07	0.69	4.56	(3.64)	4.08	0.79	(0.58)	1.14	(0.17)	0.40	-
Individual flow (TSE flow)	(0.68)	(2.22)	(2.63)	(0.16)	0.21	(0.89)	(1.12)	(0.86)	(1.34)	(1.05)	(0.24)	(0.22)	(0.00)	0.06	0.08	(1.51)	1.64	(0.78)	(0.12)	0.37	(0.61)	0.33	(0.21)	-
Individual flow (IT flow)	0.84	(1.33)	(0.50)	0.16	0.97	(0.13)	(1.72)	(0.49)	(0.54)	(0.36)	0.40	0.53	(0.62)	0.26	0.26	0.08	0.63	(0.07)	(0.06)	0.05	(0.08)	0.02	0.00	-
Individual flow (Total)	0.16	(3.56)	(3.13)	0.01	1.19	(1.03)	(2.84)	(1.35)	(1.87)	(1.42)	0.16	0.31	(0.62)	0.32	0.34	(1.43)	2.28	(0.85)	(0.18)	0.42	(0.69)	0.35	(0.21)	-

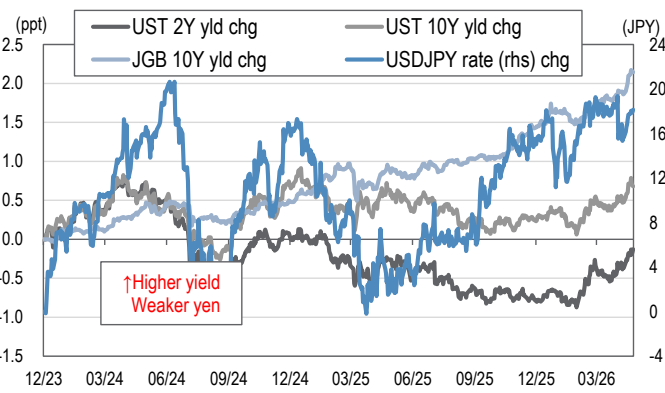
Source: Bloomberg Finance L.P., QUICK, J.P. Morgan
Note: Flow is in tril JPY

Figure 2: Global equity performance (since 2025)



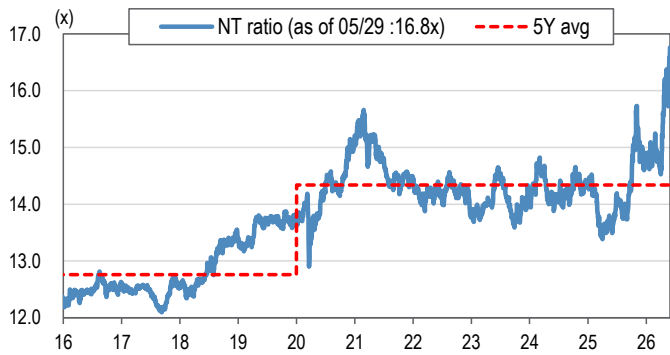
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 3: Japan, US rates, and USDJPY movement



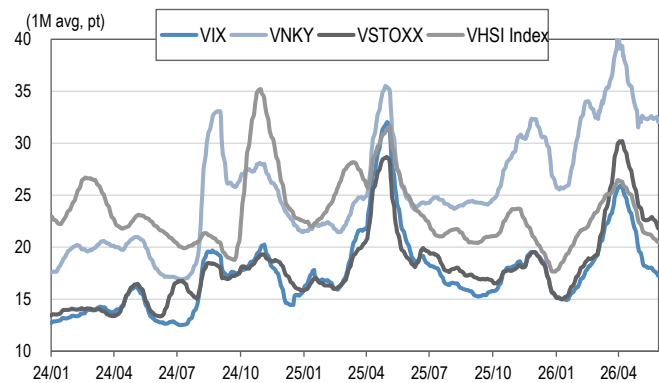
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 4: Nikkei vs. TOPIX share price ratio (NT ratio)



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 5: Trend of share price volatility index



Source: Bloomberg Finance L.P., J.P. Morgan

Sector and style movement

Figure 6: Performance of TOPIX 17 sectors

Sector (as of 2026/05/29)	2026		2025-2026 Quarterly				Monthly																Weekly				
	Perf	Contri.	3Q25	4Q25	1Q26	2Q26	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	5/1	5/8	5/15	5/22	5/29				
TOPIX	16.1%	-	10.0%	8.6%	12.6%	13.1%	1.8%	3.1%	4.3%	2.0%	6.1%	1.4%	0.3%	4.6%	10.4%	-1.2%	6.4%	6.3%	0.8%	2.7%	0.8%	0.1%	1.7%				
Elec Appl. & Prec.	34.2%	8.1%	8.3%	14.0%	-3.2%	38.7%	4.2%	2.4%	0.3%	5.5%	17.0%	-2.5%	-0.1%	5.1%	8.0%	-14.7%	19.0%	16.5%	0.2%	6.2%	0.1%	3.6%	3.6%				
Autos & Trans. Equip.	-5.5%	-0.3%	12.1%	11.2%	-7.2%	1.8%	-6.5%	5.8%	5.8%	0.1%	6.3%	1.2%	3.4%	2.8%	8.7%	-17.0%	-1.9%	3.8%	-1.5%	-0.7%	5.1%	3.2%	3.4%				
Machinery	19.0%	1.2%	8.4%	4.6%	9.7%	8.4%	6.8%	4.2%	1.0%	3.0%	10.5%	-4.1%	-1.3%	14.7%	16.0%	-17.5%	12.7%	-3.8%	0.5%	-1.1%	-5.2%	-2.5%	0.2%				
Steel & Nonfer	60.0%	2.1%	34.9%	21.2%	27.9%	25.1%	1.1%	13.2%	13.9%	4.7%	17.9%	-0.9%	3.7%	13.1%	34.5%	-15.9%	23.8%	1.0%	-1.1%	10.7%	-4.8%	2.0%	1.4%				
Raw. & Chem.	25.2%	1.3%	7.8%	2.7%	7.3%	16.6%	1.2%	2.3%	3.6%	1.7%	-0.2%	2.2%	0.7%	4.5%	15.0%	-10.7%	6.4%	9.6%	0.8%	-3.9%	1.1%	0.3%	-4.8%				
Retail Trade	-0.6%	0.0%	0.5%	9.2%	-2.4%	1.8%	3.3%	-1.1%	1.9%	-0.3%	5.3%	6.0%	-2.2%	-2.4%	9.0%	-8.2%	-1.6%	3.5%	0.7%	1.0%	-1.4%	1.7%	1.9%				
Foods	9.9%	0.3%	5.4%	2.1%	7.9%	1.9%	-0.5%	0.6%	2.9%	1.8%	1.2%	4.5%	-3.4%	1.7%	12.0%	-5.3%	0.2%	1.7%	0.8%	-0.6%	3.1%	0.2%	-1.5%				
Transprt. & Logi.	-3.1%	-0.1%	7.7%	1.7%	1.6%	-4.6%	1.4%	2.8%	5.4%	-0.6%	-2.0%	2.8%	0.9%	-0.1%	7.4%	-5.3%	-4.4%	-0.2%	-1.0%	6.3%	0.7%	-1.5%	-1.9%				
IT & Service	4.4%	0.5%	5.0%	-2.2%	-11.5%	17.9%	6.0%	-0.1%	5.3%	-0.2%	5.5%	-5.5%	-1.9%	-3.9%	-2.5%	-5.6%	5.1%	12.2%	-2.9%	3.8%	1.5%	6.3%	2.7%				
Const. & Mater.	12.5%	0.4%	13.9%	15.8%	3.9%	8.2%	2.2%	4.8%	7.4%	1.2%	4.6%	9.3%	1.3%	4.7%	17.4%	-15.4%	6.4%	1.7%	2.8%	3.4%	2.1%	3.5%	4.6%				
Elec. Pwr. & Gas	0.6%	0.0%	18.0%	13.6%	10.3%	-8.8%	2.8%	6.5%	13.1%	-2.0%	6.7%	11.7%	-4.7%	1.3%	14.5%	-4.9%	-6.2%	-2.7%	-0.6%	0.7%	0.1%	-0.0%	0.3%				
Pharmaceutical	1.4%	0.0%	0.6%	13.2%	8.3%	-6.4%	-2.1%	2.5%	-0.5%	-1.3%	2.6%	10.5%	-0.2%	1.9%	13.4%	-6.2%	-5.9%	-0.5%	12.0%	-0.5%	0.8%	-0.7%	-1.1%				
Energy Reso.	14.7%	0.1%	28.1%	16.9%	35.4%	-15.3%	2.9%	9.0%	11.1%	5.7%	3.8%	11.0%	1.5%	14.0%	12.9%	5.2%	-9.5%	-6.5%	1.5%	4.6%	4.5%	2.5%	1.8%				
Comm. & Wholesale	17.7%	1.4%	17.5%	13.4%	19.8%	-1.8%	-0.6%	4.4%	8.6%	3.6%	4.0%	4.6%	4.3%	8.4%	17.6%	-6.0%	-1.0%	-0.7%	3.8%	-0.6%	7.0%	-6.2%	-1.9%				
Banks	22.6%	2.5%	19.9%	11.6%	6.1%	15.5%	-1.1%	7.7%	7.4%	3.7%	-0.7%	7.4%	4.6%	13.2%	8.5%	-13.6%	9.0%	6.0%	3.8%	0.6%	3.8%	5.1%	4.1%				
Fin ex Bank	14.0%	0.7%	9.5%	6.1%	8.1%	5.5%	0.1%	4.2%	6.4%	-1.2%	-3.5%	3.8%	5.9%	2.4%	12.4%	-6.1%	1.7%	3.7%	0.2%	0.0%	6.8%	-0.4%	1.9%				
Real Estate	-4.1%	-0.1%	16.3%	9.5%	4.1%	-7.9%	0.3%	1.3%	10.4%	4.0%	-2.8%	11.9%	0.7%	2.6%	20.8%	-16.1%	1.9%	-9.6%	-0.7%	0.5%	-5.1%	-4.4%	1.0%				
Sector return dispersion	34.7%	-	19.8%	14.5%	25.2%	31.4%	6.8%	7.8%	10.3%	5.8%	13.5%	13.2%	7.1%	13.3%	15.2%	13.2%	19.8%	14.3%	4.1%	7.2%	9.1%	7.9%	6.1%				

Source: Bloomberg Finance L.P., J.P. Morgan

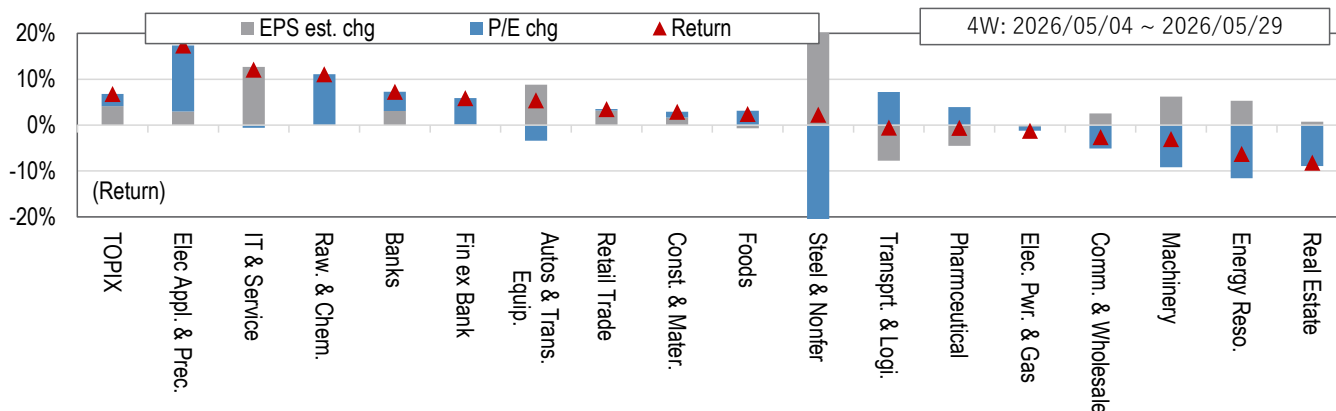
Figure 7: Share price performance by region and sector

Sector absolute return AS of: 2026/05/29	TOPIX			S&P 500			Euro STOXX 600			CSI 300		
	1M	3M	2026 YTD	1M	3M	2026 YTD	1M	3M	2026 YTD	1M	3M	2026 YTD
Automobiles & Components	6.4%	2.8%	1.0%	4.8%	8.8%	-1.6%	3.3%	9.1%	-11.0%	0.0%	5.3%	14.8%
Banks	6.8%	0.0%	21.9%	3.8%	1.5%	-5.0%	4.5%	1.9%	6.5%	-1.9%	8.8%	3.0%
Capital Goods	-0.7%	5.0%	9.0%	0.5%	-0.4%	17.8%	2.2%	2.5%	10.8%	0.4%	4.0%	2.5%
Comm. & Prof. Services	32.0%	34.0%	16.3%	3.7%	11.2%	14.3%	4.2%	4.4%	14.0%	-4.6%	5.3%	2.5%
Consumer Durables & Apparel	9.9%	2.3%	1.9%	1.1%	15.7%	-8.6%	3.3%	7.0%	15.5%	-4.7%	10.1%	7.7%
Consumer Services	1.9%	8.6%	18.5%	2.3%	6.3%	-7.8%	3.0%	9.0%	1.3%	-8.4%	22.3%	3.1%
Diversified Financials	6.2%	3.2%	1.5%	0.3%	1.7%	-6.6%	1.4%	1.0%	-2.0%	--	--	--
Energy	-5.8%	3.7%	16.9%	6.4%	-0.3%	24.0%	6.6%	9.5%	26.5%	5.5%	13.9%	17.2%
Food & Staples Retailing	-3.7%	25.6%	30.4%	8.1%	-7.4%	7.1%	8.1%	0.2%	1.7%	-8.9%	12.4%	2.6%
Food, Beverage & Tobacco	3.0%	0.2%	4.8%	0.3%	-5.6%	9.5%	1.4%	7.4%	1.3%	--	--	--
Health Care Equip. & Services	0.6%	0.7%	4.9%	1.9%	-9.5%	11.1%	1.7%	7.9%	20.9%	23.1%	32.8%	39.5%
Household & Per. Prod.	0.4%	0.6%	4.2%	0.7%	13.5%	1.1%	0.9%	7.3%	-9.1%	-0.4%	16.1%	7.6%
Insurance	4.5%	1.9%	19.2%	3.2%	7.5%	-8.0%	2.5%	4.0%	-4.7%	-6.2%	18.4%	3.2%
Materials	3.9%	0.9%	29.1%	0.4%	-5.4%	11.0%	4.3%	3.1%	15.4%	--	--	--
Media & Entertainment	-6.6%	7.9%	27.3%	0.7%	10.8%	9.1%	3.3%	0.2%	12.6%	-6.0%	13.9%	5.7%
Pharm., Biotech	-0.8%	2.7%	1.8%	4.7%	-4.6%	0.3%	2.0%	6.4%	0.9%	-9.9%	22.8%	2.5%
Real Estate	-11.1%	3.9%	6.5%	1.7%	-0.3%	8.5%	1.9%	3.6%	-3.4%	34.9%	47.5%	62.3%
Retailing	8.8%	8.2%	25.4%	0.0%	14.4%	9.7%	1.4%	7.4%	12.6%	--	--	--
Semiconductors & Equip.	13.2%	22.8%	69.5%	5.6%	42.1%	44.1%	7.1%	23.3%	63.6%	0.1%	0.3%	66.2%
Software & Services	3.9%	3.4%	22.2%	6.9%	19.8%	-5.3%	2.2%	3.5%	14.9%	-8.4%	0.0%	20.2%
Tech Hardware & Equip.	35.3%	45.9%	66.5%	6.1%	25.0%	27.1%	3.3%	36.9%	49.2%	1.8%	12.2%	7.2%
Telecom. Services	22.7%	37.8%	32.2%	2.2%	-9.5%	3.3%	1.2%	7.8%	12.2%	-2.4%	-1.6%	3.4%
Transportation	-4.1%	3.6%	8.0%	0.7%	0.2%	11.1%	4.6%	1.5%	3.2%	-7.9%	-7.9%	6.8%
Utilities	-2.5%	1.7%	3.4%	5.6%	-6.8%	3.5%	5.5%	5.3%	10.6%	-3.3%	-0.1%	17.4%
Market Index (Local currency-based)	6.2%	0.5%	16.1%	5.1%	10.2%	10.7%	2.4%	-1.2%	5.7%	1.8%	3.9%	5.7%
Market Index (USD-based)	4.4%	-1.6%	14.2%	5.1%	10.2%	10.7%	1.8%	-2.5%	4.9%	2.8%	5.4%	9.0%

Source: Bloomberg Finance L.P., J.P. Morgan

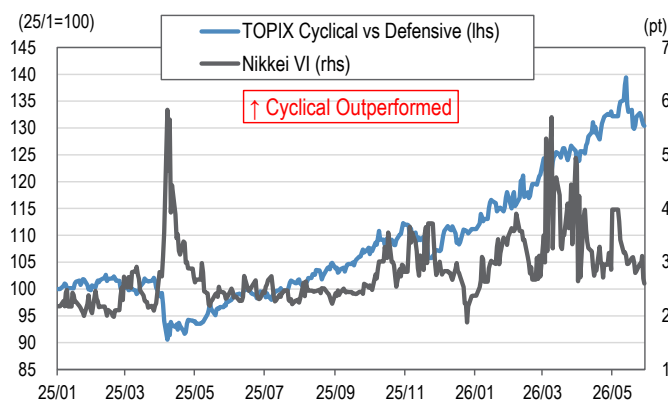
Note: By sector is MSCI sector index basis.

Figure 8: Breakdown of TOPIX sector returns



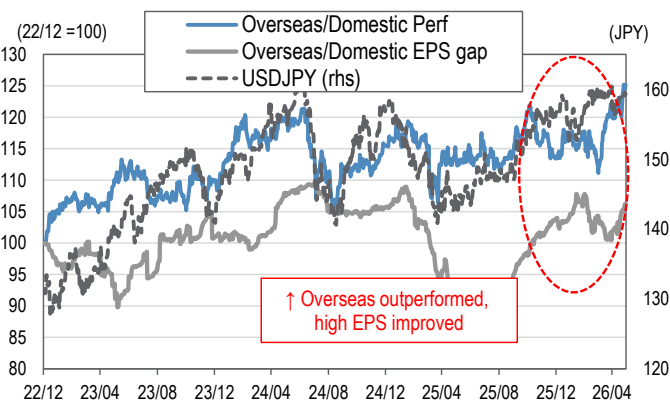
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 9: Cyclical versus defensive sectors



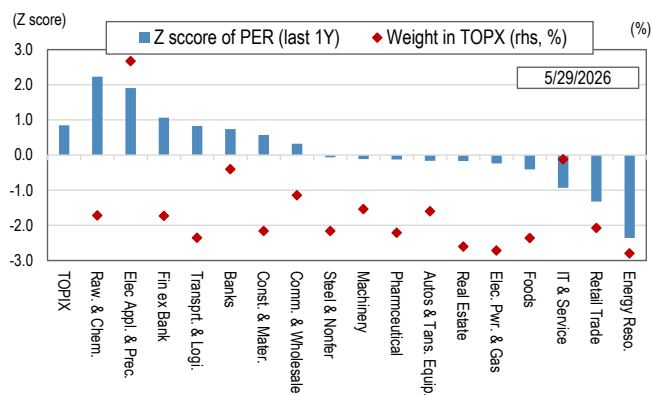
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 10: Overseas versus domestic demand-related sectors



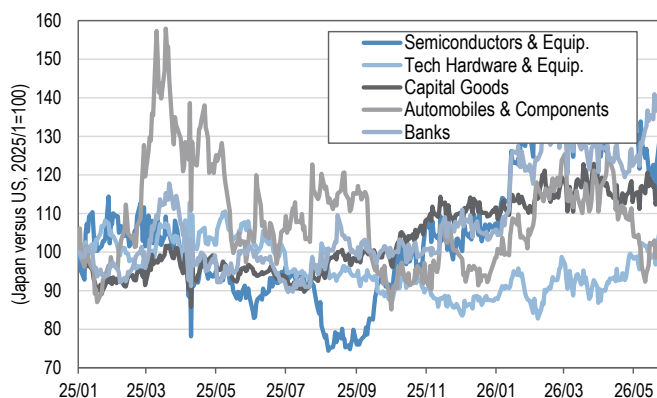
Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS is Bloomberg consensus 12M forward EPS.

Figure 11: 1M return and valuation by TOPIX 17 sectors



Source: Bloomberg Finance L.P., J.P. Morgan
Note: Z score is calculated using data since January 2021. PER is Bloomberg consensus NTM PER (weekly).

Figure 12: Japan versus US performance for major sectors



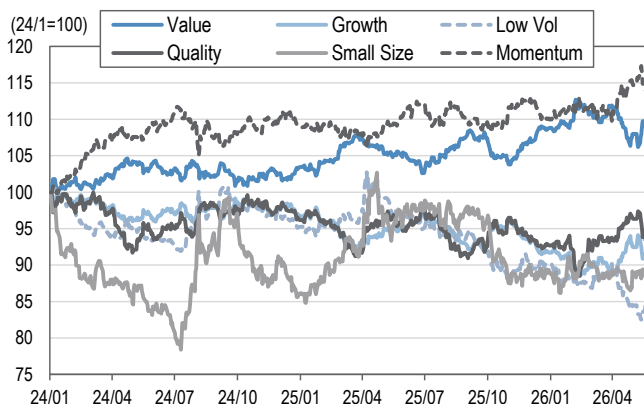
Source: Bloomberg Finance L.P., J.P. Morgan
Note: MSCI Index basis

Figure 13: Major factor performance in Japan and the US

Long/short (Non sector-neutralized) as of 2026/05/29			TOPIX		S&P 500	
	Univ		1M	YTD	1M	YTD
Value	P/Book	L-H	2.0%	10.6%	-4.1%	1.7%
	12m fwd PER	L-H	-2.2%	-2.8%	-0.7%	-1.5%
Growth	12m EPS grw%	H-L	8.9%	17.4%	8.9%	14.1%
Size	Market cap	H-L	3.6%	11.8%	4.5%	6.8%
	1m EPS revision (FY2)	H-L	-0.2%	17.9%	1.5%	3.9%
Revision	3m EPS revision (FY2)	H-L	0.2%	11.3%	2.1%	6.3%
Quality	ROE (most recent 1y)	H-L	-5.0%	-12.2%	-1.3%	-6.8%
	ROIC (most recent 1y)	H-L	-4.1%	-15.2%	-0.9%	-3.2%
	ROE (5y average)	H-L	0.0%	-5.9%	-1.6%	-3.8%
Dividend	Estimated dividend yield	H-L	-3.7%	-8.0%	-7.3%	1.6%
Leverage	Debt/Asset ratio	H-L	2.6%	10.6%	-0.8%	-4.1%
Reversal	1m total return	L-H	12.8%	10.0%	10.4%	27.3%
Momentum	3m total return	H-L	8.2%	31.1%	5.9%	25.1%
	12m total return	H-L	7.4%	34.3%	7.5%	32.1%
Risk	3M volatility	H-L	9.3%	36.1%	13.8%	26.8%
	2Y beta	H-L	9.4%	37.0%	15.1%	25.6%
CAPEX	CAPEX/assets	H-L	5.5%	11.2%	0.7%	17.7%

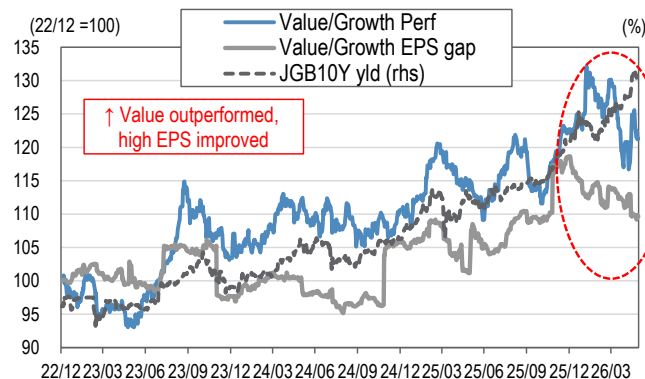
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 14: MSCI Japan style index



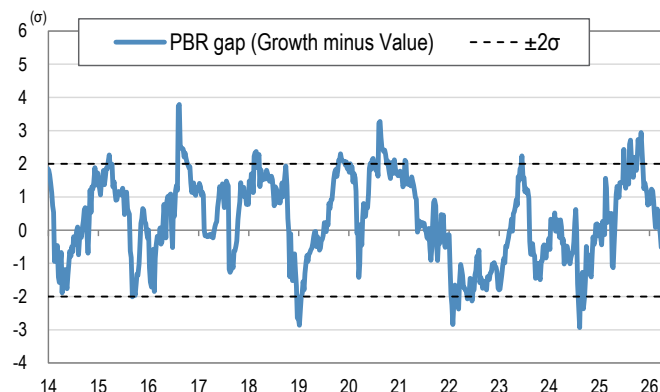
Source: Bloomberg Finance L.P., J.P. Morgan
Note: Performance versus MSCI Japan

Figure 15: MSCI value/growth index EPS and performance gap



Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS is Bloomberg consensus 12M forward EPS.

Figure 16: Growth vs. value P/B gap



Source: Bloomberg Finance L.P., DataStream, J.P. Morgan

Figure 17: TOPIX sector by weighting and contribution

2026/05/01 ~ 05/29	TOPIX 100			TOPIX Mid			TOPIX Small		
	Sector	Weight	1M Contribution	Sector	Weight	1M Contribution	Sector	Weight	1M Contribution
Top 1	Electric Appliances	23.6%	3.5%	Electric Appliances	11.5%	4.2%	Electric Appliances	9.1%	0.9%
Top 2	Information & Communication	6.4%	1.3%	Chemicals	8.0%	1.0%	Machinery	8.5%	0.7%
Top 3	Banks	12.9%	0.9%	Glass & Ceramics	2.5%	0.5%	Chemicals	6.4%	0.6%
Top 4	Services	2.6%	0.8%	Metal Products	1.3%	0.3%	Banks	9.2%	0.4%
Top 5	Chemicals	3.3%	0.3%	Trans Equipment	3.3%	0.2%	Information & Communication	7.4%	0.3%
Bot 5	Marine Transport	0.6%	0.0%	Information & Communication	6.0%	-0.1%	Services	5.7%	-0.1%
Bot 4	Other Products	2.1%	0.0%	Real Estate	2.2%	-0.1%	Textiles & Apparel	1.6%	-0.1%
Bot 3	Wholesale Trade	10.4%	-0.1%	Electric Power & Gas	5.1%	-0.1%	Glass & Ceramics	2.1%	-0.1%
Bot 2	Real Estate	1.8%	-0.2%	Mining	1.5%	-0.2%	Mining	0.8%	-0.1%
Bot 1	Machinery	6.2%	-0.5%	Construction	6.4%	-0.4%	Construction	5.3%	-0.2%
Index	TOPIX 100	-	6.5%	TOPIX MID	-	6.1%	TOPIX Small	-	3.4%

Source: Bloomberg Finance L.P., J.P. Morgan

Corporate earnings

Figure 18: EPS estimates by sector (YoY)

5/29/2026	MSCI Japan			MSCI US			MSCI Eurozone			MSCI CHINA		
	26/3	27/3	28/3	25/12	26/12	27/12	25/12	26/12	27/12	25/12	26/12	27/12
Energy	22.2%	-3.3%	5.1%	51.8%	-4.7%	2.3%	53.2%	-10.1%	-0.6%	25.8%	1.2%	3.7%
Materials	52.3%	8.0%	8.6%	38.2%	11.1%	6.4%	12.3%	15.4%	10.1%	75.5%	9.3%	8.4%
Industrials	9.1%	10.4%	10.5%	14.2%	17.8%	15.3%	8.2%	16.3%	14.6%	19.5%	10.8%	10.7%
Discretionary	36.1%	18.7%	8.7%	14.8%	14.4%	21.1%	273.8%	21.3%	16.0%	36.0%	37.1%	23.8%
Staples	17.5%	10.8%	11.5%	7.2%	7.5%	7.5%	4.3%	8.3%	8.2%	19.0%	14.6%	8.7%
Healthcare	10.3%	16.6%	7.3%	3.2%	19.4%	10.6%	4.0%	10.6%	13.1%	8.4%	20.6%	24.0%
Financials	3.6%	9.8%	8.0%	9.9%	11.2%	10.9%	9.6%	11.6%	10.7%	0.7%	5.7%	5.4%
IT	51.7%	18.7%	16.5%	46.9%	31.7%	16.8%	21.9%	28.9%	17.1%	36.8%	37.5%	27.3%
Telecom	-52.8%	13.2%	9.8%	27.6%	6.9%	15.6%	9.8%	14.3%	9.5%	-5.2%	4.7%	3.4%
Utilities	-25.1%	6.4%	6.3%	11.7%	9.7%	9.7%	3.4%	6.5%	6.1%	-1.2%	6.0%	4.8%
Real Estate	2.2%	7.4%	7.0%	6.0%	8.7%	10.1%	-0.6%	2.6%	5.2%	-	-	-
Market	8.7%	12.7%	9.9%	23.3%	17.3%	13.8%	19.7%	12.4%	11.3%	14.2%	15.0%	12.6%

Source: DataStream, J.P. Morgan

Note: As of May 29, IBES consensus

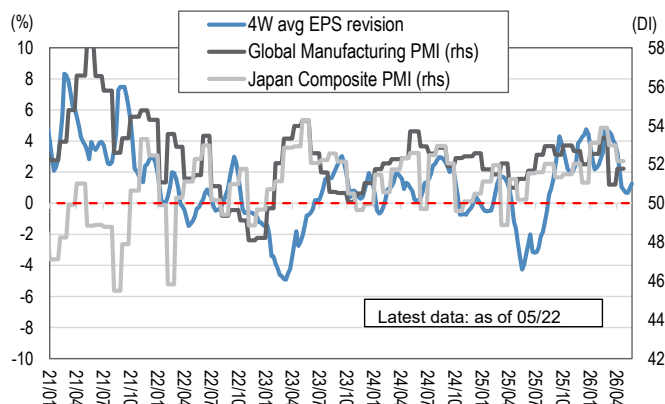
Figure 19: EPS consensus estimates and J.P. Morgan price targets vs. consensus

As of: 2026/05/29	EPS Consensus (Yen)				YoY				JPM price target vs consensus upside or downside
	FY24A	FY25A	FY26E	FY27E	FY24A	FY24A	FY26E	FY27E	
	3/31/2025	3/31/2026	3/31/2027	3/31/2028	3/31/2025	3/31/2025	3/31/2027	3/31/2028	
TOPIX	183.1	205.3	220.5	247.7	9.9%	12.1%	7.4%	12.4%	Upside
Air Transport	23.0	27.0	11.3	21.6	2.9%	17.6%	-58.2%	91.7%	Neutral
Insurance	280.1	310.4	279.8	319.4	45.2%	10.8%	-9.8%	14.1%	Downside
Pulp & Paper	33.4	41.5	38.5	52.1	-30.6%	24.1%	-7.3%	35.4%	Downside
Glass & Ceramics	45.2	125.2	127.1	146.8	-48.2%	176.8%	1.5%	15.5%	Downside
Securities	64.8	94.4	78.1	86.4	56.2%	45.8%	-17.3%	10.6%	Upside
Metal	89.6	84.3	73.0	106.7	42.2%	-5.9%	-13.4%	46.2%	Upside
Land Transport	176.4	176.8	175.9	182.2	17.1%	0.3%	-0.6%	3.6%	Upside
Foods	108.4	121.7	161.1	151.4	-9.3%	12.3%	32.3%	-6.0%	Downside
Transportation Equip.	396.0	253.3	305.7	435.9	-17.0%	-36.0%	20.7%	42.6%	Downside
Other Fin Business	80.0	97.0	105.5	113.0	-0.6%	21.4%	8.7%	7.1%	Downside
Services	102.1	105.8	157.2	174.1	28.5%	3.5%	48.7%	10.7%	Downside
Nonferrous Metal	126.0	236.3	269.0	280.2	40.7%	87.5%	13.8%	4.2%	Neutral
Textile & Apparel	41.4	30.8	65.7	66.1	79.9%	-25.5%	113.3%	0.6%	Upside
Rubber	307.4	456.1	461.7	516.2	-25.2%	48.4%	1.2%	11.8%	Downside
Retail Trade	70.9	84.3	92.6	96.0	2.4%	19.0%	9.8%	3.7%	Neutral
Real Estate	153.0	171.5	176.6	189.4	13.8%	12.0%	3.0%	7.2%	Downside
Construction	160.5	211.5	209.9	223.5	27.3%	31.7%	-0.8%	6.5%	Neutral
Pharmaceutical	226.5	261.7	259.8	275.7	27.6%	15.5%	-0.7%	6.1%	Downside
Banks	31.7	42.7	45.5	52.5	33.6%	34.9%	6.6%	15.4%	Upside
Machinery	178.5	189.1	219.7	244.8	10.6%	5.9%	16.2%	11.4%	Neutral
Chemical	138.1	139.2	155.0	178.1	34.0%	0.8%	11.3%	14.9%	Upside
Electric App	220.9	254.0	311.7	363.5	12.5%	15.0%	22.7%	16.6%	Downside
Information & Comm.	337.9	661.1	489.0	341.8	38.4%	95.6%	-26.0%	-30.1%	Downside
Other Products	216.4	280.8	268.1	312.6	-14.2%	29.8%	-4.5%	16.6%	Downside
Mining	104.3	89.6	108.6	104.3	37.2%	-14.1%	21.1%	-3.9%	Upside
Fish, Agri, and Forest	62.3	61.3	52.7	56.2	21.8%	-1.6%	-13.9%	6.7%	Neutral
Wholesale Trade	341.6	339.0	371.3	405.5	5.8%	-0.8%	9.5%	9.2%	Downside
Precision Instr.	420.1	438.7	515.3	583.2	-15.2%	4.4%	17.5%	13.2%	Downside
Warehouse & Harbor	253.6	317.9	231.4	253.7	23.6%	25.4%	-27.2%	9.6%	Upside
Iron & Steel	75.1	34.7	60.9	275.5	-35.0%	-53.8%	75.7%	352.3%	Neutral
Oil & Coal	161.3	227.1	510.2	278.2	-35.2%	40.8%	124.6%	-45.5%	Downside
Marine Transport	394.2	195.8	150.7	160.8	105.4%	-50.3%	-23.0%	6.7%	Upside
Electric Power & Gas	82.7	49.6	71.6	77.4	-24.9%	-40.1%	44.6%	8.1%	Neutral

Source: Bloomberg Finance L.P., J.P. Morgan

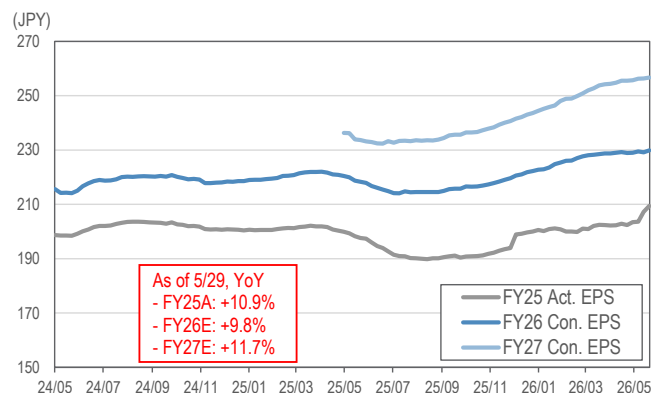
Note: Bloomberg consensus is used. For TOPIX, JPM price target is the Japan Strategy Team's forecasts. For single stocks, price targets are set by coverage sector analysts. Sectors where more than 50% of stocks have a higher JPM price target than market consensus are marked as upside, under 50% are marked as downside, 50% or no coverage sectors are marked as neutral.

Figure 20: TOPIX EPS revisions vs. PMI



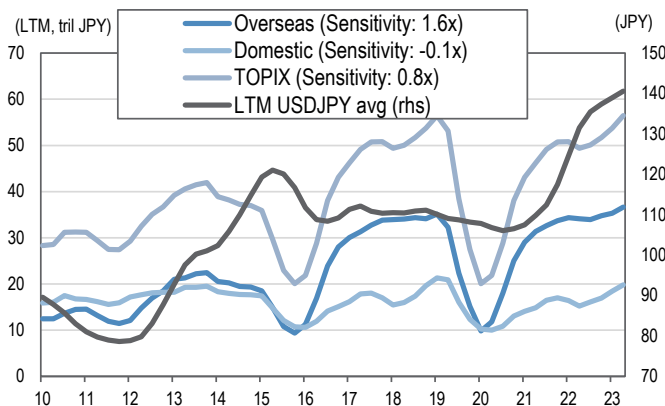
Source: DataStream, J.P. Morgan

Figure 22: TOPIX FY2025 and FY2026 estimated EPS



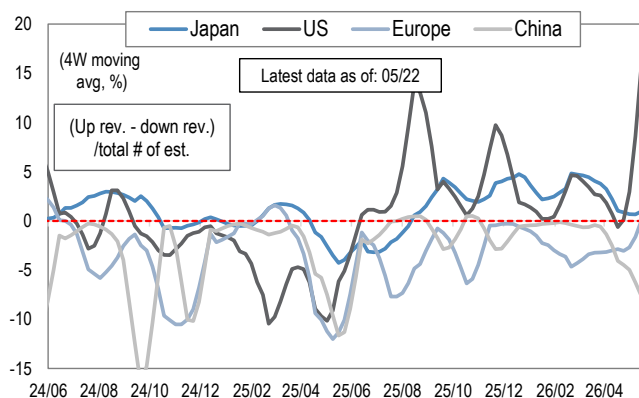
Source: DataStream, J.P. Morgan
Note: IBES consensus EPS estimates

Figure 24: Overseas and domestic demand-related names' actual net profit and USDJPY rate



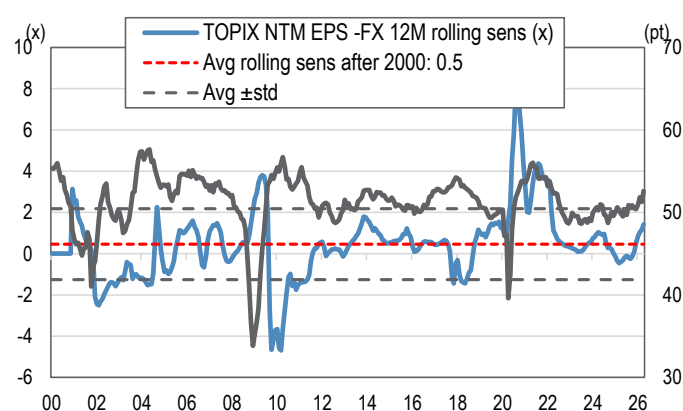
Source: Bloomberg Finance L.P., DataStream, J.P. Morgan
Note: Sensitivity is calculated from LTM actual EPS from 2010, showing EPS changes x% when USDJPY rate changes 1%.

Figure 21: EPS revision index



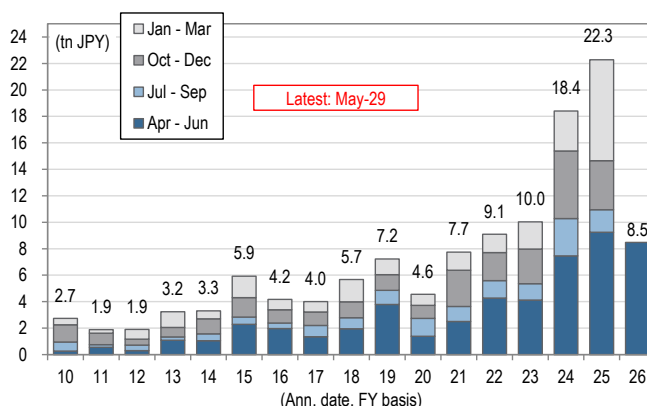
Source: DataStream, J.P. Morgan

Figure 23: TOPIX 12M forward EPS and USD/JPY sensitivity



Source: Bloomberg Finance L.P., J.P. Morgan
Note: TOPIX 12-month forward EPS is based on Bloomberg consensus estimates. Sensitivity for each ¥1/\$ change is ¥X change for EPS; calculated on 12-month rolling regression.

Figure 25: Amount of share buyback announcements for TOPIX stocks



Source: QUICK, J.P. Morgan

Valuations

Figure 26: Valuations by market

29-May-26	12m Fwd P/E (x)			Price/ Book (x)			ROE (%)			Dividend Yield (%)			Cycle-adjusted P/E (x)		
	Current	Median	Upside	Current	Median	Upside	Current	Median	Upside	Current	Median	Upside	Current	Median	Upside
Japan	16.5	13.7	-17%	2.0	1.3	-36%	9.5	8.4	-11%	1.8	2.0	13%	20.0	22.3	11%
US	21.2	16.9	-20%	6.0	2.9	-51%	20.1	14.8	-27%	1.1	1.9	79%	31.6	26.3	-17%
Europe	14.7	13.6	-8%	2.5	1.8	-28%	14.1	11.3	-20%	2.8	3.3	15%	19.2	17.1	-11%
UK	12.7	12.3	-3%	2.3	1.8	-24%	14.8	12.6	-15%	3.1	3.7	20%	16.6	15.0	-9%
Australia	17.7	14.8	-16%	2.6	2.0	-22%	12.8	12.3	-4%	3.4	4.3	25%	19.0	18.9	-1%
Hong Kong	15.0	14.8	-2%	1.3	1.3	3%	7.3	8.3	14%	3.5	2.9	-18%	15.8	19.3	23%
World	19.2	15.6	-19%	4.2	2.3	-45%	16.4	12.1	-26%	1.5	2.4	59%	26.1	22.5	-14%
EM	11.6	11.4	-2%	2.7	1.6	-39%	13.1	12.0	-8%	1.9	2.6	38%	13.6	14.9	9%

Source: DataStream, Bloomberg Finance L.P., J.P. Morgan
Note: Estimates are IBES consensus.

Figure 27: Global equities EPS and valuation by market

Updated: 2026/5/29	FY2025		FY2026			FY2027			FY2028			12m forward			
Units:	Mixed		Forecast			Forecast			Forecast			Forecast			
EPS: Local currency YoY, revision: %, ppt	EPS	yoy%	EPS	yoy%	1M rev %	EPS	yoy%	1M rev %	EPS	yoy%	1M rev %	P/E (x)	P/B (x)	ROE (%)	Dividend Yield(%)
Global	45.7	7.9	57.5	25.8	2.7	66.5	15.7	0.4	74.4	11.9	0.3	17.8	3.3	18.5	1.7
Developed Markets	46.8	7.8	56.4	20.6	2.2	64.7	14.9	0.0	72.6	12.2	0.2	19.2	3.6	18.7	1.6
Japan	209.4	10.9	229.9	9.8	-3.4	256.7	11.7	0.1	280.1	9.1	9.1	16.4	1.7	10.1	2.2
US	264.3	12.8	326.6	23.5	3.8	383.3	17.4	-0.1	435.8	13.7	0.8	20.9	4.8	22.7	1.2
UK	687.4	8.5	807.7	17.5	1.9	872.5	8.0	-0.4	945.3	8.3	-0.2	12.4	2.1	16.8	3.5
Europe	152.4	-2.4	178.2	16.9	-0.2	196.9	10.5	-0.3	216.7	10.0	0.0	14.5	2.2	15.2	3.3
Germany	1572.2	6.1	1666.5	6.0	1.6	1908.9	14.5	-0.4	2161.9	13.3	0.3	13.7	1.6	11.9	3.2
France	387.2	-22.5	557.7	44.0	1.9	612.5	9.8	-1.0	673.4	9.9	-0.1	13.7	1.8	13.1	3.5
Italy	2081.6	-36.0	3675.7	76.6	0.1	4066.2	10.6	0.1	4478.8	10.1	0.2	12.6	1.7	13.6	4.6
Spain	1161.4	5.3	1273.9	9.7	0.7	1426.6	12.0	0.6	1566.7	9.8	0.4	13.2	1.9	14.7	4.1
Canada	836.3	-1.6	887.6	6.1	0.7	1040.7	17.3	-0.2	1196.7	15.0	1.7	20.5	2.8	13.8	1.5
Emerging Markets	85.3	8.2	132.9	55.9	5.7	159.0	19.6	1.9	177.3	11.5	-1.1	11.4	2.1	18.0	2.4
APxJ	40.0	5.8	62.4	56.1	6.0	75.0	20.1	2.3	83.6	11.6	-0.7	12.5	2.1	16.8	2.2
Korea	92.0	35.2	335.5	264.6	50.8	428.1	27.6	4.5	455.0	6.3	2.6	7.0	2.0	28.1	0.9
Taiwan	58.1	21.1	80.4	38.3	2.8	102.0	26.8	2.2	125.9	23.5	1.6	20.3	4.4	21.9	1.9
China	5.7	-3.0	6.6	14.5	-0.5	7.6	15.1	-0.1	8.5	12.9	-0.8	11.4	1.3	11.7	2.5
India	120.4	11.7	136.7	13.5	-1.8	159.8	16.9	1.3	182.4	14.2	4.2	20.4	3.0	14.5	1.5
LATAM	237.2	0.4	307.1	29.4	1.2	324.2	5.6	-1.9	346.0	6.7	-1.0	9.5	1.8	19.3	5.6

Source: DataStream, Bloomberg Finance L.P., J.P. Morgan
Note: Estimates are IBES consensus estimates.

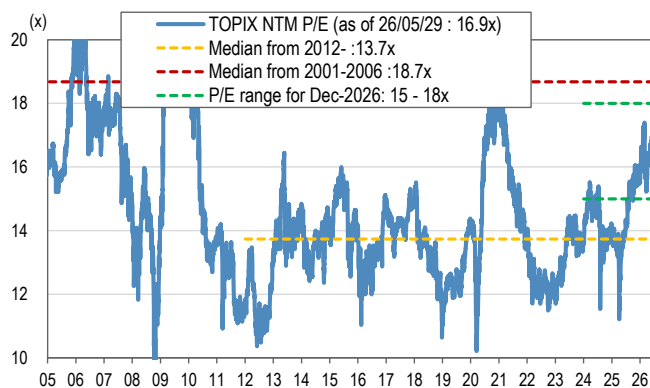
Figure 28: TOPIX 33 sector EPS and valuation

Updated: 2026/5/29		Perf.	Wgt	FY2025		FY2026				FY2027				FY2028		12m forward			
Units:		2026	Weight in	Mixed		Forecast				Forecast				Forecast		Forecast			
EPS: JPY		YTD	TOPIX	EPS		EPS	yoy%	1M	3M	EPS	yoy%	1M	3M	EPS	yoy%	P/E (x)	P/B (x)	ROE (%)	Dividend
YoY, revision: %, ppt		(%)	(%)					rev %	rev %			rev %	rev %						Yld(%)
TOPIX		16.1	100.0	209.4	10.8	229.9	9.8	0.5	1.0	256.7	11.7	0.1	1.5	280.1	9.1	16.4	1.7	10.1	2.2
Overseas demand	Electric Appliances	36.4	21.8	253.4	11.3	320.0	26.3	3.0	5.8	369.0	15.3	0.6	1.5	416.0	12.7	23.5	2.8	12.0	1.3
	Transportation Equipment	-6.0	5.3	299.9	-32.6	446.1	48.8	0.4	12.4	543.7	21.9	2.5	3.9	584.6	7.5	10.0	0.8	8.0	3.7
	Machinery	19.0	6.1	194.1	5.4	223.0	14.9	1.9	2.8	253.9	13.8	0.4	0.5	272.9	7.5	21.4	2.3	10.7	1.7
	Precision Instruments	13.0	1.9	439.0	0.7	550.6	25.4	0.2	0.2	634.3	15.2	0.8	2.2	685.1	8.0	25.4	3.3	13.2	1.4
	Iron & Steel	-6.4	0.6	34.7	-56.7	82.1	136.4	1.2	13.6	87.1	6.1	-0.5	0.0	91.9	5.6	8.7	0.5	6.3	4.2
	Rubber Products	-0.9	0.5	440.7	23.0	489.3	11.0	0.3	7.2	559.1	14.3	-0.2	1.0	628.8	12.5	10.3	1.0	9.8	4.1
Domestic demand	Retail Trade	-0.6	3.9	89.4	16.9	96.3	7.7	1.3	2.8	105.1	9.1	1.5	2.4	114.1	8.6	23.0	2.2	9.7	1.6
	Foods	10.1	2.6	126.8	9.2	170.3	34.3	2.4	-0.6	164.4	-3.5	0.4	0.6	179.5	9.2	16.5	1.8	10.8	2.8
	Land Transportation	-7.1	1.8	181.2	-2.8	182.0	0.5	1.6	-1.9	193.1	6.1	-0.1	0.5	207.8	7.6	12.3	1.0	8.2	2.3
	Air Transportation	-2.4	0.3	27.1	16.4	18.7	-31.0	2.0	-26.6	25.6	36.6	4.1	30.0	27.9	9.2	10.9	1.0	8.8	2.8
	Services	4.1	3.3	105.7	4.4	162.1	53.4	0.7	1.1	193.1	19.1	1.3	1.5	224.7	16.3	19.5	2.2	11.2	1.4
	Construction	0.1	2.2	220.3	27.1	212.5	-3.5	0.6	1.7	230.3	8.4	-0.1	0.5	258.8	12.4	12.7	1.5	11.5	3.1
	Electric Power & Gas	0.6	1.2	50.5	-44.4	71.0	40.6	1.8	-1.7	74.5	4.9	1.7	2.4	81.0	8.8	9.7	0.7	7.4	2.5
	Pharmaceutical	1.4	3.3	189.0	25.8	205.9	9.0	5.0	-4.5	236.4	14.8	6.6	8.5	251.9	6.6	18.6	1.7	9.1	2.9
	Information & Communication	11.1	6.9	673.5	91.2	379.4	-43.7	0.4	-2.2	421.4	11.1	1.3	3.8	458.7	8.8	19.8	1.9	9.4	2.0
	Fishery, Agriculture & Forestry	3.6	0.1	57.4	-2.0	52.6	-8.3	2.6	-0.2	57.6	9.5	0.0	1.1	60.2	4.6	14.3	1.2	8.1	2.5
	Glass & Ceramics Products	49.7	0.9	121.5	206.1	132.7	9.2	0.3	-2.1	156.2	17.7	1.1	2.8	177.4	13.6	17.4	1.4	8.2	2.1
	Textiles & Apparels	11.3	0.3	31.3	-28.3	62.2	98.9	0.0	7.1	70.3	13.2	2.0	0.4	78.3	11.3	14.4	0.9	6.5	2.7
	W/Housing&Transpt	6.0	0.1	326.6	26.1	258.8	-20.8	0.2	1.1	277.9	7.4	1.2	0.2	276.0	-0.7	18.1	1.4	7.6	2.9
	Pulp & Paper	1.3	0.1	44.2	20.7	54.9	24.2	1.7	-5.9	66.1	20.4	1.7	10.9	66.8	1.0	11.3	0.6	5.1	3.6
	Other Products	-14.3	1.9	290.5	21.2	304.9	5.0	0.1	-1.4	353.6	16.0	1.6	0.4	384.0	8.6	18.2	2.2	12.3	2.4
	Metal Products	25.3	0.5	90.3	-3.5	87.4	-3.2	3.4	-8.0	118.4	35.5	0.3	0.2	126.3	6.7	19.3	1.2	6.5	2.8
	Nonferrous Metals	91.8	2.8	241.3	94.6	252.4	4.6	0.7	14.0	283.1	12.2	0.8	1.2	336.4	18.8	24.5	3.2	13.1	1.4
Resource	Mining	14.7	0.4	97.9	-11.5	114.4	16.8	0.9	18.7	111.3	-2.7	0.4	3.2	106.8	-4.1	10.2	0.9	9.0	3.0
	Oil & Coal Products	14.6	0.5	235.2	35.8	301.5	28.2	4.3	14.7	283.3	-6.0	1.4	6.5	313.3	10.6	9.7	1.0	10.1	3.0
	Chemicals	26.9	4.9	140.0	-1.8	176.8	26.3	0.5	-0.8	199.2	12.7	0.0	0.5	218.0	9.5	16.9	1.5	9.1	2.3
	Marine Transportation	11.3	0.5	198.9	-51.1	172.9	-13.1	0.1	7.1	186.4	7.8	-1.0	2.4	198.2	6.4	12.0	0.8	6.4	3.7
	Wholesale Trade	17.7	7.7	353.1	-0.8	393.0	11.3	3.2	5.8	418.4	6.5	2.1	0.5	445.0	6.4	15.9	1.9	11.8	2.3
Financials	Banks	22.6	10.8	43.6	29.4	47.4	8.8	1.2	4.8	53.0	11.8	-0.5	10.1	59.0	11.2	13.3	1.4	10.2	2.8
	Insurance	17.1	3.2	313.5	10.5	302.4	-3.6	0.6	2.1	326.1	7.9	0.7	1.0	330.4	1.3	12.5	1.6	12.5	3.4
	Secu & Comdty Futs	-1.6	0.9	100.1	44.1	78.2	-21.9	1.1	2.3	84.0	7.3	1.4	1.4	86.4	2.9	10.6	1.0	9.7	4.3
	Real Estate	-4.1	1.7	176.6	11.2	191.6	8.5	0.4	2.1	206.6	7.8	-0.3	0.9	222.5	7.7	13.2	1.4	10.6	2.6
	Other Financing Business	19.3	1.2	101.9	13.3	118.0	15.8	7.7	8.8	121.5	2.9	2.1	8.0	129.4	6.5	12.4	1.3	10.7	3.4

Source: DataStream, J.P. Morgan

Note: Estimates are IBES consensus estimates.

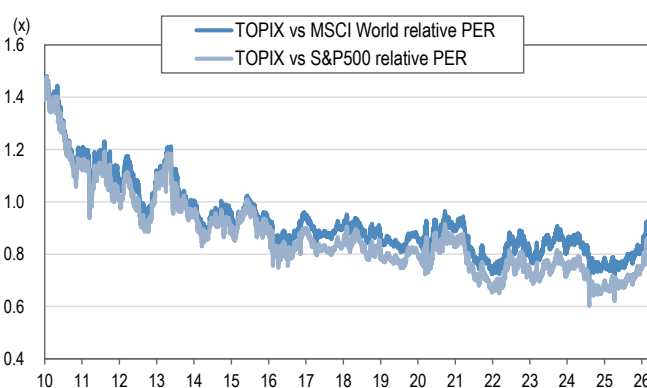
Figure 29: TOPIX 12-month forward PER



Source: Bloomberg Finance L.P., Datastream, J.P. Morgan

Note: Uses IBES EPS consensus in P/E calculation

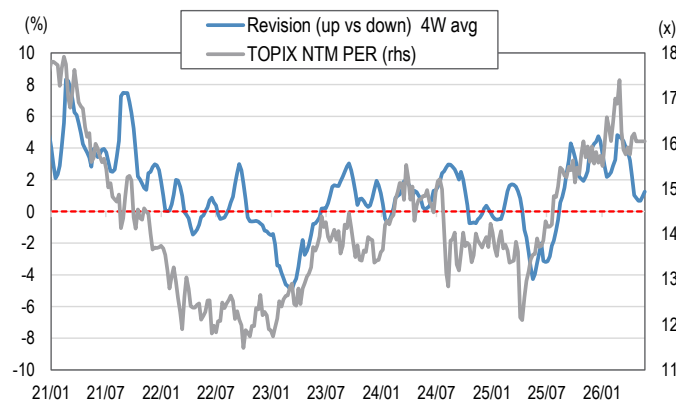
Figure 30: TOPIX 12-month forward PER versus S&P 500, MSCI World



Source: Bloomberg Finance L.P., J.P. Morgan

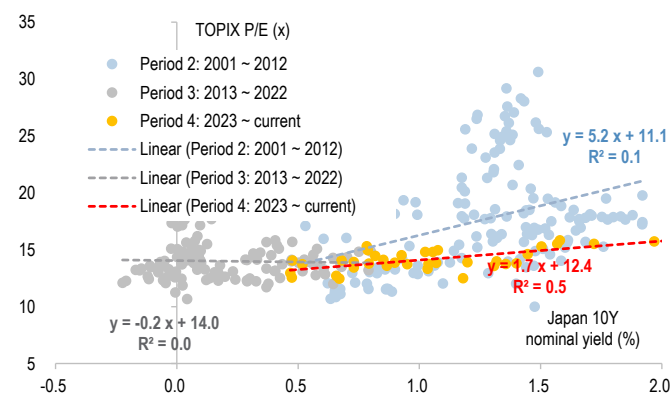
Note: 12-month forward PER is Bloomberg consensus.

Figure 31: TOPIX 12-month forward PER and revision index



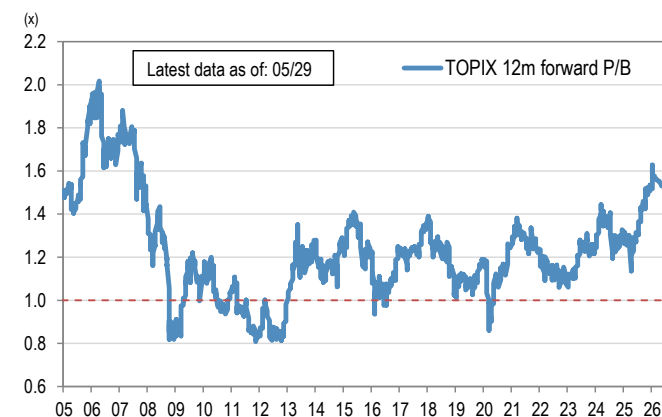
Source: Bloomberg Finance L.P., Datastream, J.P. Morgan
Note: Uses IBES EPS consensus estimate in PER calculation

Figure 32: Correlation between TOPIX PER and JGB 10Y nominal yield



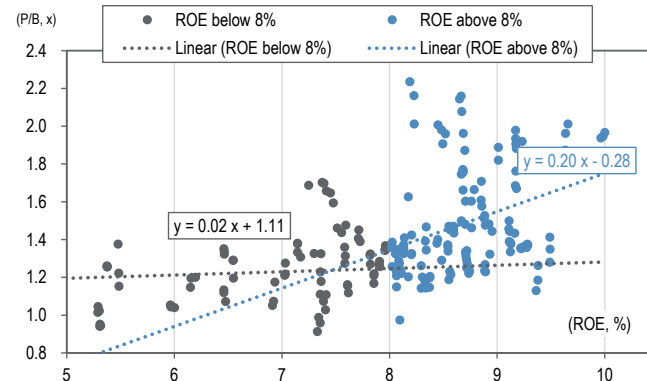
Source: Bloomberg Finance L.P., Datastream, J.P. Morgan
Note: The PER is based on the IBES consensus 12-month forward PER until May 2005, and on the Bloomberg consensus 12-month forward PER thereafter.

Figure 33: TOPIX 12-month forward P/B



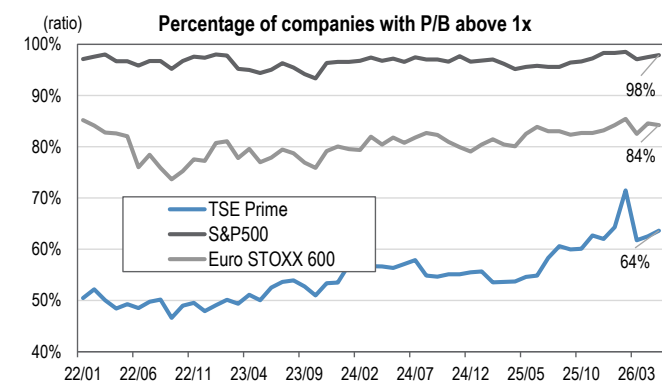
Source: Bloomberg Finance L.P., DataStream, J.P. Morgan
Note: Uses IBES book value consensus in P/B calculation

Figure 34: Distribution of TOPIX P/B and ROE (Since 2005)



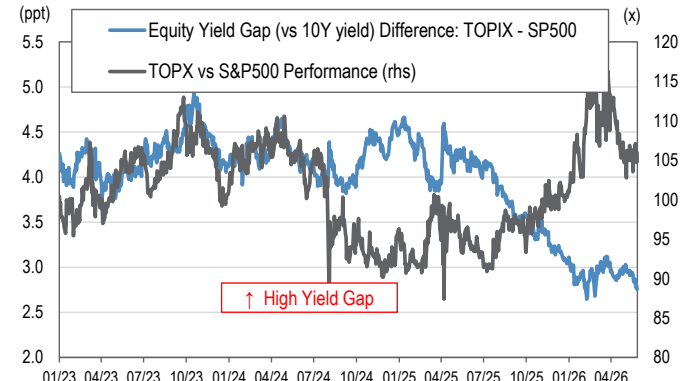
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 35: Ratio of companies with P/B above 1x in Japan, US, Europe



Source: Bloomberg Finance L.P., J.P. Morgan

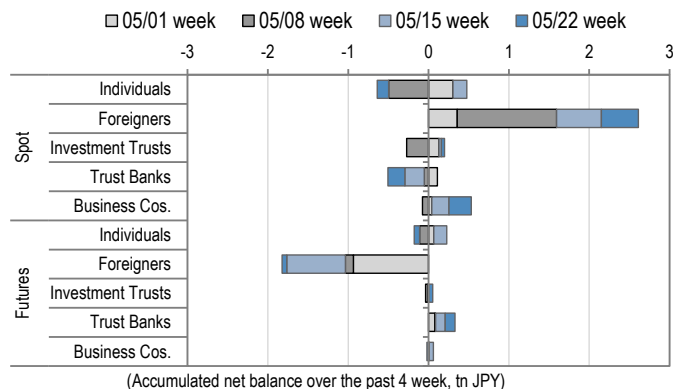
Figure 36: Japan/US stock yield gaps and TOPIX vs. S&P performance



Source: Bloomberg Finance L.P., J.P. Morgan

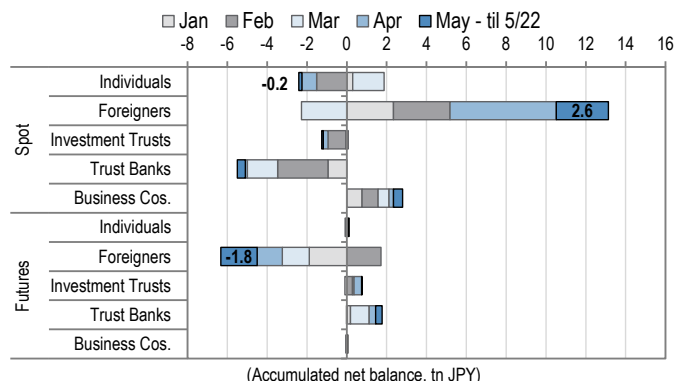
Flows and positions

Figure 37: Stock trading flow by entity (weekly)



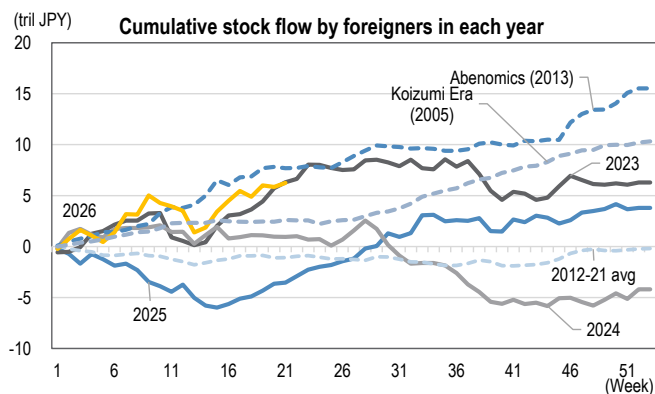
Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Figure 38: Stock trading flow by entity (monthly)



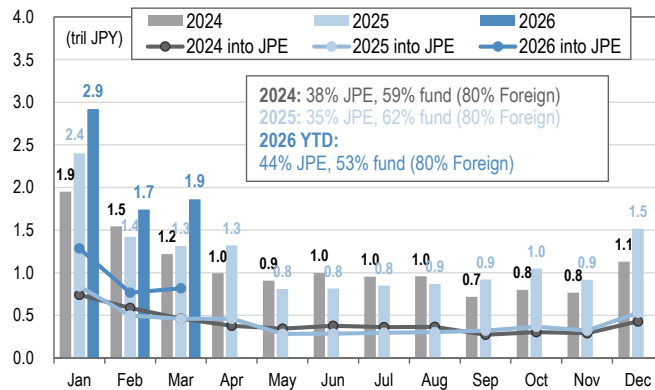
Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Figure 39: Cumulative stock trading flow from foreigners YTD



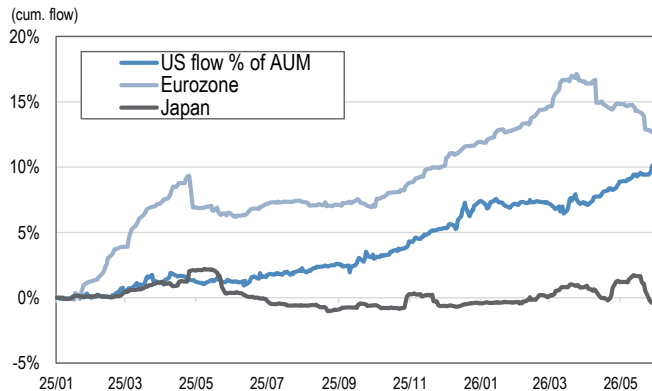
Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Figure 40: Monthly NISA flow from individuals



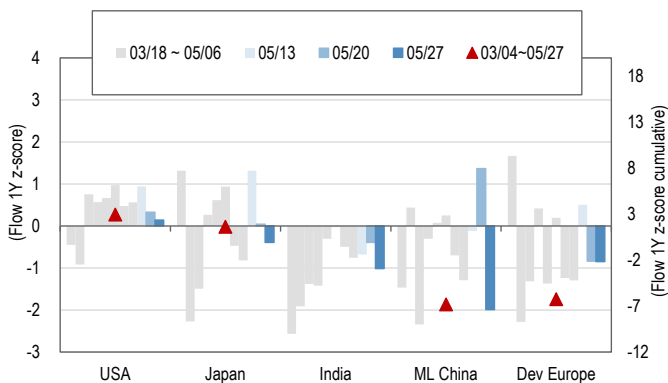
Source: JSDA, J.P. Morgan

Figure 41: Major stock ETF cumulative flow by region



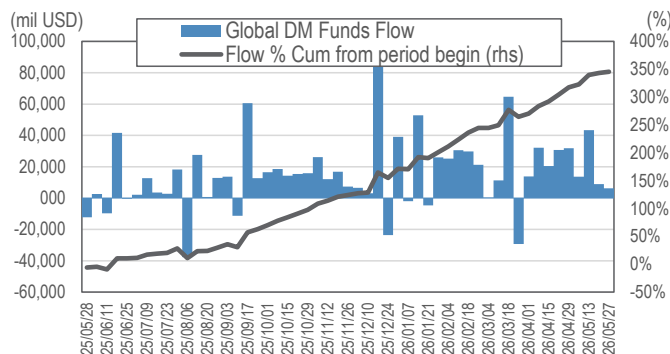
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 42: Foreign investor flows to equity investment trusts



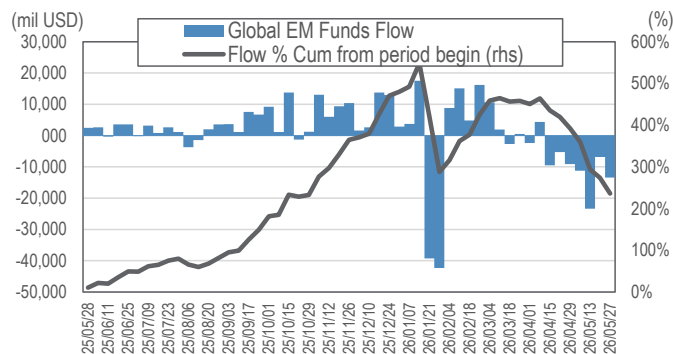
Source: EPFR, J.P. Morgan

Figure 43: Investor flows into global developed market equity funds



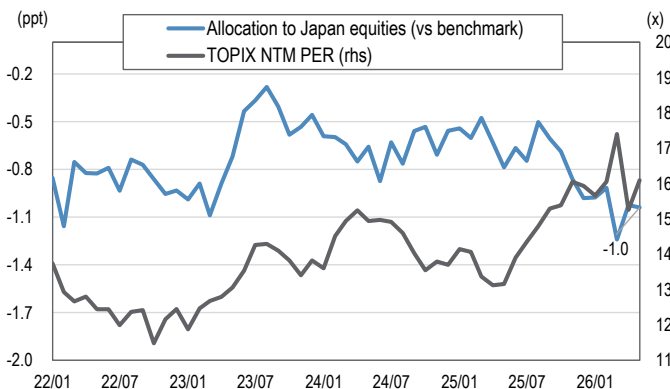
Source: EPFR, J.P. Morgan

Figure 44: Investor flows into global emerging market equity funds



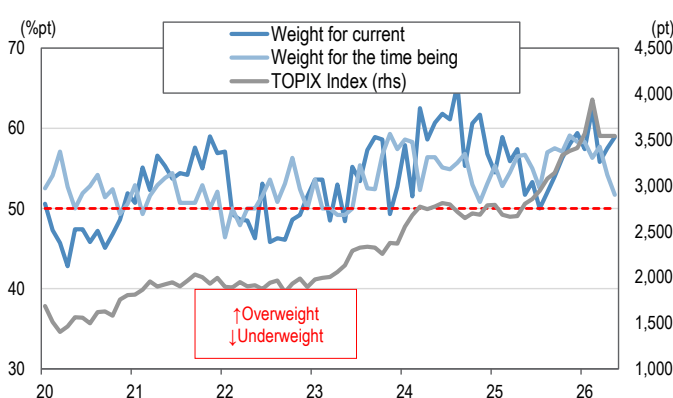
Source: EPFR, J.P. Morgan

Figure 45: Allocation to Japan equities by global active equity funds



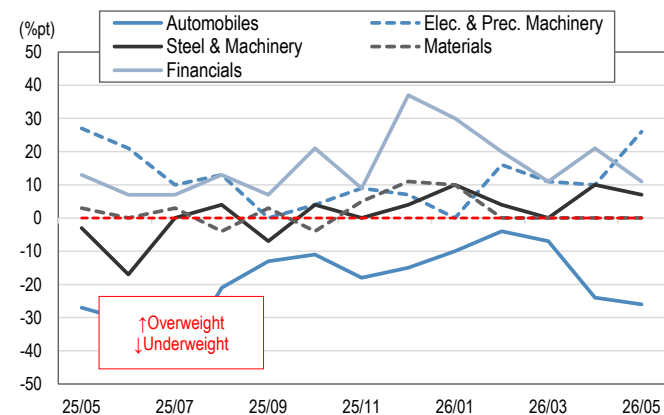
Source: EPFR, Bloomberg Finance L.P., J.P. Morgan
Note: PER is 12-month forward Bloomberg consensus

Figure 46: Stock performance and domestic institutional investors' Japanese stock weight



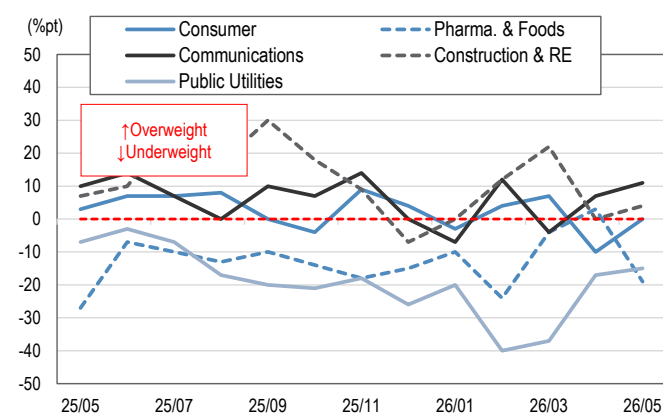
Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Figure 47: Investors' sentiment by sector (QUICK survey: overseas demand/financials)



Source: QUICK, J.P. Morgan

Figure 48: Investors' sentiment by sector (QUICK survey: domestic demand/other)



Source: QUICK, J.P. Morgan

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